WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

HONDURAS

Americas

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Tegucigalpa	Capital and seat of government; home to the central bank, key ministries and the headquarters of the Central American Bank for Economic Integration (CABEI)	Financial services, construction, professional services
San Pedro Sula and the Sula Valley (Choloma, Villanueva, El Progreso)	Industrial and commercial capital and the heart of the country's maquila and free-zone manufacturing base, with new investment in automotive wire-harness production	Apparel and textiles, auto parts, light manufacturing, logistics
Puerto Cortés (Caribbean coast)	Principal deep-water port and gateway to the US East Coast; the terminal operator OPC announced a $100 million investment in February 2026	Port logistics, warehousing, export manufacturing
Free zones (ZOLI) and the Temporary Import Regime (RIT)	Honduras has the second-largest number of free zones in Latin America, and the RIT was extended for five years in January 2026	Nearshoring manufacturing, export services, logistics
Western highlands coffee belt	Centre of Honduras's largest agricultural export, which shipped record volumes in the 2025–26 harvest at historically high prices	Coffee, agro-processing, specialty and certified exports
Bay Islands (Roatán)	Caribbean tourism hub with cruise, diving and resort traffic, offering established hospitality infrastructure	Tourism, hospitality, real estate
Southern Pacific region (Choluteca, Gulf of Fonseca)	Pacific-facing agro-export and aquaculture zone with strong solar resources	Shrimp aquaculture, melons and fresh produce, solar energy

INVESTOR ENTRY ROUTES

- National Investment Council (CNI), the state investment promotion body, offers guidance and facilitation for foreign investors and opened an office in Miami in April 2026 to attract US capital
- Investor protection through restored ICSID membership (Convention re-signed in March 2026, in force from 16 August 2026) and the CAFTA-DR investment chapter with investor-state dispute settlement
- Free Trade Zones (ZOLI) and the Temporary Import Regime (RIT), extended for five years under Decree 2-2026, offering tax and duty exemptions for export-oriented manufacturing and services

- Electricity sector opening under the new electricity law, which unbundles state utility ENEE into generation, transmission and distribution companies and provides for tenders of 600 MW (planned for January 2027) and 1,000 MW (early 2028), open to all technologies
- Banco Central de Honduras foreign-exchange framework: auction rules have been updated for more predictable dollar access and documentation requirements reduced, with a gradual move toward private-sector-led allocation of foreign exchange
- Labour and trade reforms in 2026, including a new Part-Time Employment Law and active negotiation of a bilateral trade agreement with the United States to expand preferential access

MARKET-ENTRY OBSERVATION

Honduras in October 2026 offers steady growth, sound macroeconomic management and a new government that has made investment attraction a central priority. GDP grew 3.8% in 2025, the central bank projects 3–4% growth in 2026, and the monthly activity index rose 4.4% year-on-year in July. Foreign direct investment reached $675.7 million in the first half of 2026, up 67.4% year-on-year and described by the central bank as the highest flow in 11 years. Since taking office in January 2026, the Asfura administration has restored ICSID membership, extended the Temporary Import Regime for five years, passed a Part-Time Employment Law and enacted an electricity-sector reform. The IMF completed its fourth and fifth programme reviews on 29 June 2026, bringing disbursements to about $725 million; public debt fell to 45.4% of GDP in 2025, and net international reserves of $11.5 billion cover 6.6 months of imports.

The country's main structural challenge is its energy sector. Electricity costs are high, supply can be unreliable and the state utility ENEE carries losses and arrears, while dependence on imported fuel has transmitted higher global energy prices into domestic inflation, which reached 6.3% in September 2026 and prompted the central bank to raise its policy rate to 6.0% in September. The government is addressing this directly: the new electricity law unbundles ENEE, creates a reform steering committee supported by the IDB, and opens the way for 1,600 MW of new capacity tenders being prepared with the World Bank, IDB and CABEI. Remittances of around 30% of GDP and comfortable reserves provide a strong external cushion in the meantime, and the reform programme creates one of the region's most significant opportunities in generation, renewables, storage and grid investment.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Electricity costs and supply reliability	High power costs and supply interruptions raise operating costs, and ENEE's losses have missed IMF indicative targets since mid-2025	The new electricity law and 1,600 MW of planned tenders address supply; manufacturers can consider on-site solar, now enabled by the law, and power-purchase agreements
Energy-driven inflation and tighter monetary policy	Higher global fuel prices lifted inflation to 6.3% in September 2026, above the 4% ± 1 percentage-point target, and the policy rate rose to 6.0%	The IMF expects inflation to return to 4% by 2028; private-sector credit is still growing about 8% a year, and investors can lock in financing and hedge input costs
Governance and legal certainty	The US State Department cites corruption and inconsistent application of fiscal incentives, and past disputes over the repealed ZEDE regime remain in arbitration	Rejoining ICSID, CAFTA-DR protections and beneficial-ownership and AML reforms ahead of the 2026 FATF evaluation strengthen investor safeguards; structure contracts with international arbitration clauses
Security	Crime raises business costs, although the homicide rate fell to 26.8 per 100,000 in 2024, the lowest in 20 years, and declined a further 14% in January–September 2025	Locate in established industrial parks and free zones with managed security, and include professional security assessment in site selection
Foreign-exchange access	Investors reported dollar shortages in earlier years, but access has improved markedly after the central bank simplified procedures and updated auction rules	Confirm current repatriation procedures with the central bank and banks at the outset, and match local-currency costs with export revenue where possible
US trade policy	USTR placed Honduras in the reduced 10% additional-tariff group rather than the	Bilateral trade-agreement talks with Washington aim to widen preferential

Issue	Potential Impact	Possible Mitigation
	12.5% initially proposed, with exclusions for certain CAFTA-DR agricultural, textile and apparel products	access; structure supply chains to qualify for CAFTA-DR rules of origin
Climate exposure	Agriculture, energy and infrastructure are exposed to hurricanes and El Niño-related drought, which the IMF lists among key risks	Build climate resilience and insurance into project design; resilient infrastructure, irrigation and renewables are growing opportunities

INVESTOR RISK NOTE

Honduras's risk profile reflects an economy with consistent growth, disciplined public finances and a government actively improving the investment climate. A deficit of 0.7% of GDP in 2025, declining public debt, reserves equal to 6.6 months of imports and an IMF programme on track provide a stable macroeconomic base, while the return to ICSID, the renewal of the Temporary Import Regime and the electricity reform address long-standing investor concerns. Energy remains the main constraint: high power costs and imported-fuel exposure have pushed inflation above target in 2026, and the central bank has responded promptly with a modest rate increase. Security and governance have historically weighed on investment decisions; homicides have fallen to two-decade lows and AML and beneficial-ownership reforms are advancing, and the State Department reports that investor perceptions have improved since the new government took office. Investors should apply standard due diligence on counterparties and land titles, use established free zones and international arbitration clauses, and plan for energy-cost and climate scenarios.

MARKET ACCESS

Honduras has been a WTO member since 1995 and is a party to CAFTA-DR, which provides preferential access to the United States and the Central American and Dominican markets together with strong investment protections. It is part of the Central American integration system, including a customs union with Guatemala and El Salvador, and trades with Europe under the EU–Central America Association Agreement and the equivalent UK agreement. Goods exports reached $12.2 billion in 2025, up 10.4%, with North America taking 47.2% and coffee generating a trade surplus with Europe. Puerto Cortés, the main Caribbean deep-water port, links the Sula Valley manufacturing base to the US East Coast, and talks on a bilateral trade agreement with the United States aim to deepen this access further.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Nasry Asfura)	Took office on 27 January 2026 and has placed foreign investment, legal certainty and closer ties with the United States at the centre of policy	Primary reference point for Honduras's strategic and investment direction
National Investment Council (CNI)	State investment promotion body, with a new Miami office targeting US investors	Standard first point of contact for market entry, incentives and facilitation
Banco Central de Honduras (BCH)	Monetary authority; manages the lempira, foreign-exchange allocation and the policy rate	Relevant for currency access, repatriation and banking-sector matters
Secretariat of Economic Development (SDE)	Leads trade policy, CAFTA-DR administration and the free-zone and export regimes	Key counterpart for free-zone, RIT and export-manufacturing projects
Secretariat of Finance (SEFIN)	Manages fiscal policy, public debt and the IMF programme	Relevant for tax treatment, public procurement and macro-fiscal outlook
ENEE, Secretariat of Energy and the regulator CREE	Lead the electricity-sector restructuring and forthcoming 1,600 MW of generation tenders	Essential counterparts for any energy, renewables or grid investment
Central American Bank for Economic	Regional development bank	Potential co-financier and partner for

Actor	Why It Matters	Waverley Engagement Angle
Integration (CABEI)	headquartered in Tegucigalpa, supporting preparation of the electricity tenders alongside the World Bank and IDB	infrastructure and energy projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Honduran Private Enterprise Council (COHEP) is the principal national business federation, and the Honduran-American Chamber of Commerce (AmCham Honduras) represents the more than 200 US companies operating in the country, mainly in manufacturing, textiles and auto parts. The Honduran Maquila Association and the Chamber of Commerce and Industry of Cortés provide practical insight into the Sula Valley manufacturing and logistics cluster. The National Investment Council runs investor outreach, including through its Miami office and Honduran embassies abroad. The IDB, World Bank and CABEI maintain active programmes in energy, infrastructure and private-sector development, and the IMF programme provides a regular, transparent check on macroeconomic policy.

INVESTOR PROFILE BEST SUITED

Honduras suits investors seeking a cost-competitive, US-proximate production and export base: nearshoring manufacturers in apparel, textiles and automotive wire harnesses using the free-zone and RIT regimes; energy investors and developers of solar, hybrid and storage projects positioned for the 1,600 MW of planned tenders; and port, logistics and warehousing investors around Puerto Cortés and the Sula Valley. Agribusiness investors in coffee, shrimp and fresh produce, and tourism and hospitality investors in the Bay Islands, can build on established export and visitor markets. Investors with experience in Central American markets, and those partnering with development finance institutions, are best placed to manage energy, security and governance considerations.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the National Investment Council and assess incentive regimes
Open dialogue with the CNI to compare free-zone, RIT and sector-specific incentives and to secure facilitation for permits and site selection.

STEP 2: Use free zones and established industrial parks for manufacturing entry
Shortlist Sula Valley parks with reliable utilities, managed security and proximity to Puerto Cortés, and confirm eligibility under CAFTA-DR rules of origin.

STEP 3: Position early for the electricity tenders
Track the 600 MW and 1,000 MW tender bases being prepared with the World Bank, IDB and CABEI, and engage ENEE, the Secretariat of Energy and CREE ahead of publication.

STEP 4: Build legal and financial safeguards into project structures
Use ICSID and CAFTA-DR arbitration clauses, conduct thorough counterparty and land-title due diligence, and agree foreign-exchange and repatriation procedures with the central bank and banks at the outset.

STEP 5: Monitor US trade developments and reform milestones
Follow the bilateral trade-agreement talks with the United States, the FATF evaluation and IMF programme reviews, which will shape market access and investor confidence.